



***UNAUDITED CONDENSED
FINANCIAL STATEMENTS
MARCH 2021***

I&M HOLDINGS PLC**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

FOR THE PERIOD ENDED 31 MARCH 2021	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	31-Mar 2021 KShs '000'	31-Dec 2020 KShs '000'	31-Mar 2020 KShs '000'	31-Mar 2021 KShs '000'	31-Dec 2020 KShs '000'	31-Mar 2020 KShs '000'
Interest income	5,462	29,175	2,178	7,132,258	27,848,575	6,469,775
Interest expense	-	-	-	(2,819,082)	(12,248,980)	(2,973,160)
Net interest income	5,462	29,175	2,178	4,313,176	15,599,595	3,496,615
Fee and commission income	-	-	-	1,060,250	4,170,303	1,119,470
Fee and commission expense	-	-	-	(97,091)	(327,639)	(85,116)
Net fee and commission income	-	-	-	963,159	3,842,664	1,034,354
Revenue	5,462	29,175	2,178	5,276,335	19,442,259	4,530,969
Net trading income	-	-	-	678,736	3,870,331	1,027,783
Other operating income	-	3,377,318	1,937,000	86,401	597,119	69,778
Net operating income before change in expected credit losses and other credit impairment charges	5,462	3,406,493	1,939,178	6,041,472	23,909,709	5,628,530
Change in expected credit losses and other credit impairment charges	-	-	-	(758,910)	(2,472,836)	(555,272)
Net operating income	5,462	3,406,493	1,939,178	5,282,562	21,436,873	5,073,258
Staff costs	-	-	-	(1,193,276)	(4,555,444)	(1,181,572)
Premises and equipment costs	-	-	-	(114,085)	(428,732)	(114,608)
Other expenses	(4,215)	(31,102)	(7,226)	(1,005,975)	(3,295,865)	(759,098)
Depreciation and amortisation expenses	-	-	-	(393,284)	(1,525,866)	(324,723)
Operating expenses	(4,215)	(31,102)	(7,226)	(2,706,620)	(9,805,907)	(2,380,001)
Operating profit	1,247	3,375,391	1,931,952	2,575,942	11,630,966	2,693,257
Share of profit of Joint Venture	-	-	-	83,790	(678,962)	(206,569)
Profit before income tax	1,247	3,375,391	1,931,952	2,659,732	10,952,004	2,486,688
Income tax expense	(356)	(4,805)	(427)	(772,783)	(2,539,446)	(823,994)
Profit for the period	891	3,370,586	1,931,525	1,886,949	8,412,558	1,662,694
Other comprehensive income	-	801	(364)	(424,229)	596,385	123,502
Total comprehensive income for the period	891	3,371,387	1,931,161	1,462,720	9,008,943	1,786,196
Profit attributable to:						
Equity holders of the company	891	3,370,586	1,931,525	1,790,561	8,073,855	1,564,036
Non controlling interest	-	-	-	96,388	338,703	98,658
	891	3,370,586	1,931,525	1,886,949	8,412,558	1,662,694
Total comprehensive income attributable to:						
Equity holders of the company	891	3,371,387	1,931,161	1,366,814	8,498,802	1,530,100
Non controlling interest	-	-	-	95,906	510,141	256,096
	891	3,371,387	1,931,161	1,462,720	9,008,943	1,786,196
Basic and diluted earnings Per share - (KShs)	0.00	4.08	2.34	2.17	9.77	1.89
Dividends Per share - (KShs) - Final	-	2.25	-	-	2.25	-

I&M HOLDINGS PLC
STATEMENT OF FINANCIAL POSITION

AS AT 31 MARCH 2021	COMPANY			GROUP		
	UNAUDITED 31-Mar 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 31-Mar 2020 KShs '000'	UNAUDITED 31-Mar 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 31-Mar 2020 KShs '000'
ASSETS						
Cash and balances with central banks	-	-	-	14,963,295	19,403,419	18,993,786
Items in the course of collection	-	-	-	700,386	622,994	486,236
Loans and advances to banks	-	-	-	21,903,394	18,335,440	52,867,421
Loans and advances to customers	-	-	-	193,158,555	187,391,266	182,881,841
Financial assets at fair value through profit or loss (FVTPL)	-	-	-	12,478,342	11,869,403	11,633,652
Financial assets measured at fair value through other comprehensive income (FVOCI)	27,209	28,392	26,508	45,612,475	42,477,252	14,716,785
Other financial assets at amortised cost	-	-	-	44,346,261	47,364,625	27,702,004
Held for sale assets	-	-	-	1,066,355	1,057,056	-
Investment in Joint Venture	2,515,591	2,515,591	2,110,591	5,109,688	5,177,219	5,040,093
Investment in subsidiaries	26,151,882	26,151,882	25,662,294	-	-	-
Property and equipment	-	-	-	12,177,702	12,121,588	10,364,298
Intangible assets - Goodwill	-	-	-	3,155,211	3,155,449	3,142,967
Intangible assets - Software	-	-	-	2,493,719	2,436,493	2,212,310
Prepaid operating lease rentals	-	-	-	-	-	-
Tax recoverable	4,013	4,369	4,826	66,068	133,588	19,156
Deferred tax asset	-	-	-	4,172,045	4,211,504	3,025,892
Due from group companies	440,911	446,059	2,007,318	-	-	-
Other assets	5,764	4,124	16,736	3,038,689	2,342,497	2,870,683
TOTAL ASSETS	29,145,370	29,150,417	29,828,273	364,442,185	358,099,793	335,957,124
LIABILITIES AND SHAREHOLDERS' EQUITY						
Liabilities						
Deposits from banks	-	-	-	10,249,023	6,762,835	13,183,167
Items in course of collection	-	-	-	144,151	261,363	721,113
Deposits from customers	-	-	-	263,132,910	262,681,402	240,728,556
Deferred tax liability	-	-	-	-	-	-
Tax payable	-	-	-	712,563	155,863	1,685,656
Due to group companies	1,880,942	1,881,272	1,881,592	-	-	-
Other liabilities	79,082	84,324	93,719	5,956,181	5,402,428	5,220,472
Long term debt	-	-	-	10,075,077	10,317,827	6,983,079
Subordinated debt	-	-	-	4,646,421	4,454,936	4,786,712
	1,960,024	1,965,596	1,975,311	294,916,326	290,036,654	273,308,755
Shareholders' equity						
Share capital	826,811	826,811	826,811	826,811	826,811	826,811
Share premium	18,390,507	18,390,507	18,390,507	18,390,507	18,390,507	18,390,507
Retained earnings	7,967,632	7,966,741	8,636,047	40,524,961	39,610,553	34,818,048
Revaluation reserve	-	-	-	929,217	929,217	869,480
Fair value reserve	396	762	(403)	(334,659)	(36,599)	(272,375)
Translation reserve	-	-	-	(1,385,445)	(1,260,493)	(1,454,673)
Statutory credit risk reserve	-	-	-	6,743,326	5,867,908	6,252,252
Defined benefit reserve	-	-	-	(138,561)	(138,561)	(101,042)
Equity attributable to owners of the company	27,185,346	27,184,821	27,852,962	65,556,157	64,189,343	59,329,008
Non-controlling interest	-	-	-	3,969,702	3,873,796	3,319,361
TOTAL SHAREHOLDERS' EQUITY	27,185,346	27,184,821	27,852,962	69,525,859	68,063,139	62,648,369
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	29,145,370	29,150,417	29,828,273	364,442,185	358,099,793	335,957,124

I&M HOLDINGS PLC

UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT MARCH 2021

3 months period to 31 March 2021	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2021	826,811	18,390,507	929,217	(36,599)	5,867,908	(138,561)	5,729,347	39,610,553	(1,260,493)	64,189,343	3,873,796	68,063,139
Net profit after tax	-	-	-	-	-	-	-	1,790,561	-	1,790,561	96,388	1,886,949
Other comprehensive income	-	-	-	(298,060)	875,418	-	875,418	(876,153)	(124,952)	(423,747)	(482)	(424,229)
Total comprehensive income for the period	-	-	-	(298,060)	875,418	-	875,418	914,408	(124,952)	1,366,814	95,906	1,462,720
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	-	-	-	-	-
Dividends Paid	-	-	-	-	-	-	-	-	-	-	-	-
Total transactions with owners for the period	-	-	-	-	-	-	-	-	-	-	-	-
Balance as at 31 March 2021	826,811	18,390,507	929,217	(334,659)	6,743,326	(138,561)	6,604,765	40,524,961	(1,385,445)	65,556,157	3,969,702	69,525,859

For the year ended 31 December 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Net profit after tax	-	-	-	-	-	-	-	8,073,855	-	8,073,855	338,703	8,412,558
Other comprehensive income	-	-	53,232	237,203	349,516	(37,519)	311,997	(333,558)	156,073	424,947	171,438	596,385
Total comprehensive income for the period	-	-	53,232	237,203	349,516	(37,519)	311,997	7,740,297	156,073	8,498,802	510,141	9,008,943
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	-	60,299
Dividends Paid	-	-	-	-	-	-	-	(2,108,367)	-	(2,108,367)	240,091	(1,868,276)
Total transactions with owners for the year	-	-	-	-	-	-	-	(2,048,068)	-	(2,048,068)	240,091	(1,807,977)
Balance as at 31 December 2020	826,811	18,390,507	929,217	(36,599)	5,867,908	(138,561)	5,729,347	39,610,553	(1,260,493)	64,189,343	3,873,796	68,063,139

3 months period to 31 March 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Total comprehensive income for the period	-	-	-	-	-	-	-	1,564,036	-	1,564,036	98,658	1,662,694
Net profit after tax	-	-	(6,505)	1,427	733,860	-	733,860	(724,611)	(38,107)	(33,936)	157,438	123,502
Total comprehensive income for the period	-	-	(6,505)	1,427	733,860	-	733,860	839,425	(38,107)	1,530,100	256,096	1,786,196
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	(60,299)	-
Dividends Paid	-	-	-	-	-	-	-	-	-	-	-	-
Total transactions with owners for the year	-	-	-	-	-	-	-	60,299	-	60,299	(60,299)	-
Balance as at 31 March 2020	826,811	18,390,507	869,480	(272,375)	6,252,252	(101,042)	6,151,210	34,818,048	(1,454,673)	59,329,008	3,319,361	62,648,369

OPERATING SEGMENTS

The Group operations are within five geographical segments, Kenya, Tanzania, Rwanda, Uganda and Mauritius. The table below contains segmental information for the period ended 31 March 2021.

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
31-Mar-21							
Net interest income	3,349,972	243,624	719,580	-	-	-	4,313,176
Net fee commission and other income	1,521,851	107,260	152,661	-	825	(54,301)	1,728,296
Results from joint venture	-	-	-	83,790	-	-	83,790
Operating income	4,871,823	350,884	872,241	83,790	825	(54,301)	6,125,262
Operating expenses	(1,693,749)	(222,857)	(448,997)	(1,657)	(650)	54,574	(2,313,336)
Depreciation and Amortisation	(276,284)	(27,265)	(89,731)	-	(4)	-	(393,284)
Net impairment losses on loans and advances	(690,356)	(12,628)	(55,926)	-	-	-	(758,910)
Operating expenses	(2,660,389)	(262,750)	(594,654)	(1,657)	(654)	54,574	(3,465,530)
Profit before tax	2,211,434	88,134	277,587	82,133	171	273	2,659,732
Profit after tax	1,700,484	62,048	180,432	82,134	171	(138,320)	1,886,949
Loans and advances to customers	153,729,720	15,950,205	23,478,630	-	-	-	193,158,555
Deposits from customers	212,867,701	17,749,891	32,515,318	-	-	-	263,132,910
Total assets	317,180,837	25,182,035	52,025,272	4,622,071	9,730	(34,577,760)	364,442,185
Total liabilities	228,807,905	21,128,540	45,846,597	7,334	1,867	(875,917)	294,916,326

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
31-Dec-20							
Net interest income	11,864,220	1,290,459	2,444,916	-	-	-	15,599,595
Net fee commission and other income	7,001,471	417,217	957,595	-	6,970	(73,139)	8,310,114
Results from joint venture	-	-	-	(678,962)	-	-	(678,962)
Operating income	18,865,691	1,707,676	3,402,511	(678,962)	6,970	(73,139)	23,230,747
Operating expenses	(5,694,512)	(910,269)	(1,604,419)	(8,087)	(3,072)	(59,682)	(8,280,041)
Depreciation and Amortisation	(1,027,297)	(159,424)	(339,131)	-	(14)	-	(1,525,866)
Net impairment losses on loans and advances	(1,616,646)	(252,283)	(603,907)	-	-	-	(2,472,836)
Operating expenses	(8,338,455)	(1,321,976)	(2,547,457)	(8,087)	(3,086)	(59,682)	(12,278,743)
Profit before tax	10,527,236	385,700	855,054	(687,049)	3,884	(132,821)	10,952,004
Profit after tax	8,488,500	274,631	560,678	(687,048)	2,718	(226,921)	8,412,558
Loans and advances to customers	149,675,064	15,101,900	22,614,302	-	-	-	187,391,266
Deposits from customers	218,152,864	17,153,294	27,375,244	-	-	-	262,681,402
Total assets	317,738,409	24,192,273	45,794,544	4,687,258	9,377	(34,322,068)	358,099,793
Total liabilities	230,653,849	20,206,550	39,791,712	3,332	1,674	(620,463)	290,036,654

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
31-Mar-20							
Net interest income	2,713,668	267,059	515,888	-	-	-	3,496,615
Net fee commission and other income	1,819,140	110,159	239,562	-	919	(37,865)	2,131,915
Results from joint venture	-	-	-	(206,569)	-	-	(206,569)
Operating income	4,532,808	377,218	755,450	(206,569)	919	(37,865)	5,421,961
Operating expenses	(1,473,604)	(224,803)	(392,952)	-	(651)	36,732	(2,055,278)
Depreciation and Amortisation	(209,304)	(30,727)	(84,689)	-	(3)	-	(324,723)
Net impairment losses on loans and advances	(531,610)	(6,842)	(16,820)	-	-	-	(555,272)
Operating expenses	(2,214,518)	(262,372)	(494,461)	-	(654)	36,732	(2,935,273)
Profit before tax	2,318,290	114,846	260,989	(206,569)	265	(1,133)	2,486,688
Profit after tax	1,620,555	79,933	169,643	(208,090)	265	388	1,662,694
Loans and advances to customers	145,071,131	15,383,695	22,427,015	-	-	-	182,881,841
Deposits from customers	203,818,648	14,022,641	22,887,267	-	-	-	240,728,556
Total assets	302,958,048	23,121,800	38,322,968	4,555,264	6,418	(33,007,374)	335,957,124
Total liabilities	221,023,414	19,324,965	33,406,915	1,902	1,550	(449,991)	273,308,755

I&M HOLDINGS PLC
NOTES TO UNAUDITED CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1 REPORTING ENTITY

I&M Holdings PLC (the "Company"), is a non-operating holding company licensed by the Central Bank of Kenya (CBK) under the Kenyan Banking Act (Chapter 488). The Company is incorporated in Kenya under the Kenyan Companies Act, 2015 and comprises banking subsidiaries in Kenya, Tanzania, Rwanda and a joint venture in Mauritius and non banking Subsidiaries in Kenya, Mauritius and Uganda. The consolidated financial statements as at and for the year ended 31 December 2020 comprise of entities in Kenya – I&M Bank Limited, I&M Capital Limited, I&M Realty Limited, I&M Burbidge Capital Limited, Giro Limited, I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited), and Youjays Insurance Brokers Limited; Tanzania - I&M Bank (T) Limited; Rwanda - I&M Bank (Rwanda) Plc, Mauritius - BCR Investment Company Limited and a joint venture - Bank One Limited; and Uganda - I&M Burbidge Capital (U) Limited (together referred to as the "Group"). The address of its registered office is as follows:

1 Park Avenue
1st Parklands Avenue
P O Box 30238 - 00100
Nairobi

The Company owns the following entities directly:

- (i) Bank One Limited – 50% interest in Bank One Limited, a joint venture in a bank licensed in Mauritius;
- (ii) I&M Bank LIMITED – 100% shareholding;
- (iii) I&M Capital Limited – 100% Shareholding;
- (iv) I&M Realty Limited – 100% Shareholding;
- (v) BCR Investment Company Limited – 100% Shareholding;
- (vi) I&M Burbidge Capital Limited – 65% Shareholding, and;
- (vii) Giro Limited – 100% Shareholding

Through I&M Bank LIMITED, the Company has:

- (i) 70.38% shareholding in I&M Bank (T) Limited;
- (ii) 100% shareholding in I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited) (incorporated on 23 July 2014),
- (iii) 100% shareholding in Youjays Insurance Brokers Limited (effective 31 March 2018) through I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited).

Through BCR Investment Company Limited, the Company has 54.47% effective shareholding in I&M Bank (Rwanda) Plc as BCR Investment Company Limited (Mauritius) owns 54.47% shareholding in I&M Bank (Rwanda) Plc;

Through I&M Burbidge Capital Limited, the Company has 65% effective shareholding in I&M Burbidge Capital (U) Limited as the Company is 100% owned by I&M Burbidge Capital Limited.

2 BASIS OF PREPARATION

The principal accounting policies adopted in these consolidated quarter one financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2020.

These quarter one financial statements should be read together with the 2020 Audited Annual Financial Statements.